

The Value of W: Pricing Neighbourhood Prestige

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Abstract

Estimating the value of neighbourhood prestige is difficult because status is correlated with other desirable neighbourhood attributes. We estimate the value of prestige using a spatial regression discontinuity design in Vancouver, where the historic boundary between the wealthy “West Side” and the working-class “East Side” falls along Ontario Street. This boundary is a quiet residential street that offers no physical barrier, yet for homes on east-west streets, crossing it triggers an immediate switch in the address prefix from “East” to “West”. Restricting the sample to homes within 150 meters of Ontario Street, we find a 20.5% premium for single-family homes on the west side.

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1 Introduction

Consumers are often willing to pay a substantial premium for prestige when buying luxury goods. However, estimating this willingness to pay for prestige is difficult because prestige and intrinsic quality are typically positively correlated. For instance, Rolex watches command higher prices than Seiko watches not only because of their superior quality but also because of the social status they convey, making it difficult to disentangle the value of the status signal from the physical quality of the good.

Neighbourhoods are a particularly interesting but mostly understudied luxury good. Seemingly every city has a luxury neighbourhood known to be the place for the rich and powerful, such as the Upper East Side in New York, Mayfair in London, or Gangnam in Seoul. However, estimating the willingness to pay for this prestige is difficult because high-status neighbourhoods often possess superior intrinsic qualities like better schools, greater safety, or better access to employment. Understanding this prestige premium is important for housing policy because it may contribute to residential segregation and affordability pressures. Furthermore, failing to account for prestige can bias hedonic regressions used to value other neighbourhood amenities.

In this paper, we estimate the willingness to pay for the prestige of living on the west side of Vancouver using a spatial regression discontinuity design. Vancouver features a sharp cultural and economic divide between its “West Side”—historically associated with the upper class and higher status—and its “East Side”. We exploit the fact that this distinction is demarcated by a specific north-south street, Ontario Street, even though amenities vary smoothly across it. By comparing homes just west of the boundary to homes just east of it, and controlling for housing characteristics, census tract fixed effects, and sale timing, we estimate the premium associated with the “West Side” address.

The East-West divide is a widely recognized feature of Vancouver’s social geography, tracing its roots to the city’s founding in Gastown. The zero-point for this division is Carrall Street, site of “Gassy Jack” Deighton’s original saloon and Vancouver’s first business. Historically, the West Side’s higher elevation and distance from industrial zones attracted wealthier residents, creating a socioeconomic split from the working-class East Side that has persisted for over a century. In the south, this boundary follows Ontario Street, a quiet

residential street.

Ontario Street makes for an ideal setting to study neighbourhood prestige precisely because of its lack of physical prominence. It is a quiet residential street that does not coincide with other major administrative boundaries such as school catchments or municipalities, ensuring that tangible amenities vary smoothly across the line. For homes on east-west streets, crossing Ontario Street triggers an immediate switch in the address directional prefix between “W” and “E,” offering a sharp signal of the West Side label. Because the street itself creates no physical barrier, this setting allows us to study the value attached to the label rather than to an obvious change in local amenities.

To study this question, we use rich historical transaction data from the British Columbia Assessment Authority, covering the universe of home sales in Vancouver since 2001. Our primary analysis employs a spatial regression discontinuity design, restricting the sample to homes on east-west streets within 150 meters of Ontario Street to compare physically adjacent properties that differ in their address prefix (“West” vs “East”).

We find a large and statistically significant price discontinuity: single-family homes on the west side sell for a 20.5% premium relative to comparable homes on the east side. For strata properties, the estimated premium is 11.0%, also statistically significant at the 5% level. The single-family premium remains robust across alternative bandwidths, restrictions to standard-size homes, neighbourhood and time-period heterogeneity checks, predicted-price heterogeneity tests, placebo boundaries, and controls for local household income. The strata premium is consistent across all bandwidth specifications, though it is less precisely estimated in more restricted samples due to the smaller number of strata transactions near the boundary.

Our paper contributes to three different strands of literature. First, we add to the literature on conspicuous consumption and luxury goods that began with Veblen (1899). Recent papers such as Charles, Hurst, and Roussanov (2009), Kaus (2013), Heffetz (2011), and Bertrand and Morse (2016) have shown the economic importance of this consumption, documenting that consumers across the income distribution devote a significant share of their budgets to visible goods. This status-seeking appears to be more pronounced among lower-income households and to increase with the level of economic inequality. Our findings extend this literature by showing that status concerns can be capitalized into housing prices and shape residential location decisions.

Second, a recent literature has examined amenities as a driver of neighbourhood sorting. Most closely related, Heblich, Trew, and Zylberberg (2021) show how prevailing wind and pollution patterns drove the sorting of rich and poor into the west and east sides in formerly industrialized cities, a pattern that has persisted long after the original disamenity vanished. Lee and Lin (2018) show how exogenous natural amenities drive neighbourhood sorting. Gaigne et al. (2022) and Almagro and Dominguez-Iino (2024) add some theoretical evidence for exogenous and endogenous amenities, respectively. Other related papers include Guerrieri, Hartley, and Hurst (2013) and Couture et al. (2024). To our knowledge, we are the first to show how the prestige associated with high-amenity neighbourhoods amplifies this effect.

Finally, a small literature has examined the role of status in real estate decisions. Our paper closely relates to Ben-Shahar et al. (2023), who use a rich data set for Vancouver condominiums to measure the premium paid for relative height. On the supply side, Helsley and Strange (2008) discuss the inherent value placed on having the tallest skyscraper and show how this competition for relative height shapes urban development. Shum, Sun, and Ye (2014) and Deng, Gan, and Hernandez (2024) show that Chinese homebuyers will pay a premium for homes with “lucky” numbers in the address. Homeownership itself is a sign of one’s status in society, as discussed by Foye, Clapham, and Gabrieli (2018), who also show that these relative benefits are economically meaningful. Closely related to our setting, Yamagishi and Sato (2025) show that place-based stigma is capitalized into land prices in Kyoto, using a border design to estimate the discount associated with buraku areas over more than a century. We add to this literature by providing a causal estimate for homebuyers’ willingness to pay for neighbourhood status.

2 Historical Background

Vancouver is quite a young city, even by the standards of North America. First incorporated in 1886 with a population of 1000, its primary importance initially came as a centre of trade, with the terminus of the Canadian Pacific Railway (CPR) and a natural port located downtown. This access to trade attracted industrial attention, and Vancouver grew quickly with major industries centred around natural resources like wood and steel, and concentrated around the False Creek peninsula in what is now central and east Vancouver.

This led to persistent air pollution, which remained a problem until the 1970s. The higher altitude on the west side, west-to-east prevailing wind direction, and better access to natural amenities on the west side contributed to an east-west segregation that was often codified in restrictive covenants. For example, Chinese immigrants who built the railway were largely limited to Chinatown in the east end of downtown. Thus the idea that the east side is the lesser side of Vancouver is as old as the city itself.¹

When Vancouver amalgamated into its present-day boundaries in 1929, Carrall Street and its southern extension, Ontario Street, were designated as the east–west axis. Unlike in most North American cities, this choice reflected historical considerations rather than any intrinsic or planned importance. Captain John “Gassy Jack” Deighton, often regarded as Vancouver’s first permanent European settler, operated the Globe Saloon at Maple Tree Square, now the intersection of Carrall and Water Streets. From this reference point, addresses extend 49 blocks to the west and 38 blocks to the east. Despite this administrative designation, zoning maps from 1931 to 2020 indicate that Carrall and Ontario Streets have never functioned as zoning boundaries.² As illustrated in Figure 1, Ontario Street remains a quiet residential street situated between the major thoroughfares of Main and Cambie Streets. Accordingly, no meaningful neighbourhood division has emerged along these streets following Vancouver’s amalgamation.³

3 Data

Our housing data cover the universe of residential transactions in Vancouver from 2001 to 2024. We merge sales records with assessment roll data to obtain detailed information on land and property characteristics. These data are provided by the British Columbia Assessment

¹This is evidenced by newspaper articles as far back as the 1920s decrying the crime which concentrated in the East End (this pattern continues today, with Vancouver’s Downtown Eastside widely thought of as the city’s most dangerous area), and encouraging residents and speculators to buy East Vancouver land, noting its relative affordability (e.g. Vancouver Sun, June 25, 1921). Even now, newspapers try to convince readers to give the east side a chance (e.g. Vancouver Sun, January 6, 2011, pointedly titled ‘East Van Rules, OK’).

²Vancouver zoning maps from 1931 to 2020: https://mountainmath.ca/cov_zoning_history#1931/.

³The only exception is school catchment boundaries, which followed Ontario Street from 29th Avenue to 53rd Avenue prior to a rezoning in 2000. To avoid the effect of school quality on house prices around Ontario Street, we restrict our sample to sales from 2001 onward.



Figure 1: Ontario Street

Authority (BCA). We combine them with street geometry from Vancouver’s Open Data Portal to calculate each property’s distance to Ontario Street and to classify each sale as occurring on the west or east side. The BCA data also report the year of construction and the year of major renovation. We exclude transactions that occurred before a reported major renovation, since in these cases the recorded property characteristics may describe a later version of the home rather than the property at the time of sale.

Figure 2 plots all transactions in our sample on a map of Vancouver. Over the sample period, the area shown contains 182,344 transactions, consisting of 77,605 single-family homes and 104,739 strata units. The figure also marks Ontario Street with a red line and shades the 150-meter buffer on either side in red, which is the area we focus on for our main regression discontinuity analysis.

The map further reveals distinct spatial patterns across housing types: single-family homes are distributed more evenly throughout the city, whereas strata units are more concentrated in the northern areas, closer to water. For example, the Olympic Village neighbourhood, which sits on the north shore of False Creek and was developed for the 2010 Winter Olympics, has only strata units.

For our spatial regression discontinuity analysis, we consider bandwidths of 50–200 meters

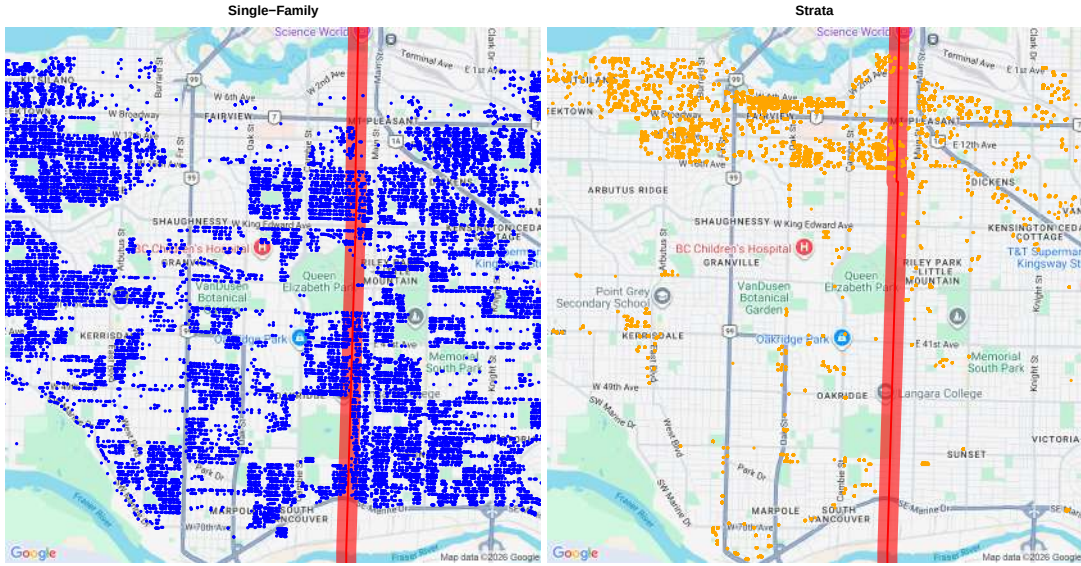


Figure 2: Map of Sales within 150 Meters of Ontario Street

around Ontario Street because the identifying assumption of smooth variation in amenities and other price determinants is most plausible in small areas around the street. Although a 200-meter bandwidth yields the largest sample, we prefer a 150-meter bandwidth because the wider band includes homes closer to Main Street, a major commercial corridor roughly 280m from Ontario Street. Since Main Street offers a dense concentration of amenities and a distinct neighbourhood character, including those homes could weaken the plausibility of our identifying assumptions. This 150-meter buffer—roughly the width of fifteen standard Vancouver residential lots—contains 1,525 single-family home transactions and 2,893 strata-unit transactions, for a total of 4,418 sales.

Figure 3 provides a closer view of this 150-meter bandwidth area. In Vancouver, north-south streets are typically named, whereas most east-west streets are numbered. More importantly, east-west streets usually carry a directional prefix—“West” or “East” (for example, 100 W 16th Ave versus 100 E 16th Ave)—whereas north-south streets do not (for example, 2400 Ontario Street). Our spatial regression discontinuity design relies on a sharp and easily observed switch between the West Side and the East Side. Although crossing Ontario Street always implies crossing this boundary, the signal is clearer on east-west streets because the address

Table 1: Summary Statistics by Property Type and Location

Variable	Single-Family		Strata	
	Single-Family - West	Single-Family - East	Strata - West	Strata - East
Price (000s)	2073.84 (10.38)	975.53 (4.82)	609 (2.58)	450.96 (3.2)
Age	20.16 (0.12)	22.14 (0.13)	15.76 (0.07)	16.09 (0.12)
Floor Area	2929.95 (7.38)	2166.01 (4.12)	937.38 (1.98)	808.4 (2.49)
Lot Size	5674.51 (19.77)	4216.98 (6.77)		
Baths	3.76 (0.01)	3.07 (0.01)	1.46 (0)	1.27 (0.01)
Bedrooms	4.37 (0.01)	4.61 (0.01)	1.75 (0)	1.65 (0.01)
Year	2010.92 (0.05)	2010.46 (0.05)	2011.14 (0.04)	2012.42 (0.06)
N	21268	20123	32728	13655

Note: For homes sold in Vancouver, 2001-2024. Mean values shown with standard errors in parentheses. Source: BC Assessment.

prefix changes immediately. For this reason, our primary analysis focuses on homes located on east-west streets.

Table 1 reports summary statistics for the citywide sample in Vancouver. The citywide comparison reveals large differences between the west and east sides, especially for single-family homes. On average, west-side single-family homes are approximately 2.1 times more expensive, 35% larger, located on lots that are about 35% larger, and roughly two years newer than homes on the east side. Interestingly, east-side homes have slightly more bedrooms (by about 0.24), whereas west-side homes have more bathrooms (by about 0.7). Among strata properties, the west-side premium is also sizable: west-side units are about 35% more expensive than those on the east side. However, physical differences are less pronounced than for single-family homes, with west-side strata units being about 15% larger and having about 0.2 more bathrooms and 0.1 more bedrooms. The table also reports sale years, with no statistically significant differences between the two regions for either single-family homes or strata units.

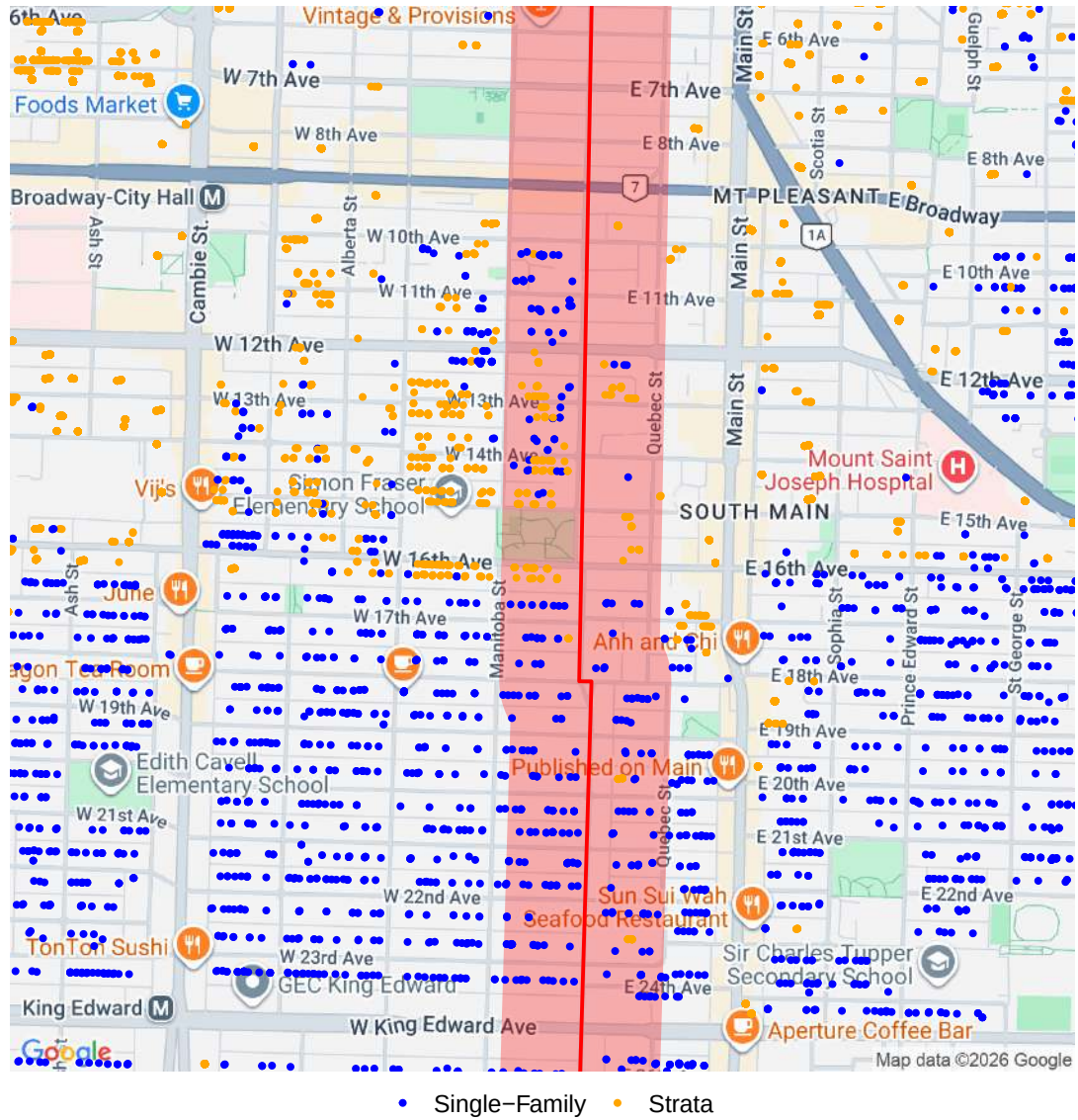


Figure 3: Band around Ontario Street

Table 2: Summary Statistics by Property Type and Location (Within the 150-Meter Band)

Variable	Single-Family		Strata	
	Single-Family - West	Single-Family - East	Strata - West	Strata - East
Price (000s)	1476.83 (46.58)	1175.11 (37.32)	755.96 (13.42)	732.06 (33.67)
Age	22.35 (0.85)	21.38 (0.73)	5.1 (0.24)	13.23 (0.92)
Floor Area	2476.53 (28.66)	2183.34 (23.18)	860.79 (10.48)	1104.3 (23.89)
Lot Size	4465.69 (37.96)	3996.52 (27.85)		
Baths	3.36 (0.07)	2.93 (0.05)	1.29 (0.02)	1.62 (0.07)
Bedrooms	4.51 (0.06)	4.49 (0.05)	1.59 (0.02)	2.12 (0.06)
Year	2010.35 (0.31)	2010.76 (0.31)	2015.86 (0.15)	2012.26 (0.58)
N	512	543	848	136

Note: For homes sold in Vancouver, 2001-2024. Mean values shown with standard errors in parentheses. Source: BC Assessment.

Table 2 reports summary statistics for the sample within the 150-meter bandwidth, our preferred bandwidth for the regression discontinuity analysis. Relative to the citywide comparison in Table 1, east-west differences become notably smaller within this narrow band. Some differences remain: single-family homes on the west side of Ontario Street are somewhat larger (by about 13%) and on larger lots (by about 12%), and have an average sale price nearly 25% higher than homes on the east. The west-side homes were built about 1 year before the east-side homes, but there is no significant difference in the last sale years. Strata homes are concentrated primarily on the west side of the street and sell for similar prices across the two sides, although west-side strata units are smaller, by about 22 percent, and newer, by about eight years.

Taken together, these comparisons suggest that homes on either side of Ontario Street within the 150-meter bandwidth are considerably more similar than homes in the broader citywide west-versus-east comparison, at least among single-family homes. This supports our empirical design. The remaining size differences are addressed in the regressions by controlling for lot size and floor area and we further verify robustness using a restricted sample consisting of only standard-size properties.

Strata units may differ from single-family homes in how they capitalize neighbourhood

prestige. They are typically less expensive than single-family homes, and the households who purchase them may place less value on address-based prestige. They are also concentrated in the northern part of the sample, closer to downtown and the waterfront, which may make them more sensitive to amenity access. For example, residents of Olympic Village may identify more with the neighbourhood name than with the street address prefix. We therefore estimate the regression discontinuity separately for single-family homes and strata units, allowing us to examine whether the value of prestige differs across housing types.

4 Base analysis

4.1 Geographic regression discontinuity design

We use a geographic regression discontinuity (GRD) design with Ontario Street as the border, and estimate a hedonic pricing regression where the price of a house i of type $k : k \in \{\text{Single-Family, Strata}\}$ can be written as a function of its structure characteristics X_k , its neighbourhood n , year-quarter of sale t , and its location relative to Ontario Street *side*, specifically whether it is west or east of Ontario and within the bandwidth.

$$\log(p_{i,k,t}) = \gamma \cdot \text{side}_i + \beta_1 X_{i,k} + \delta_t + \delta_n + \epsilon_{i,t} \quad (1)$$

The treatment indicator, side_i , equals one for homes on the west side of Ontario Street and zero for homes on the east side, restricting the sample to properties within a specified distance of the street. We consider bandwidths of 50, 100, 150, and 200 meters. The coefficient γ therefore captures the average price premium for observationally similar homes on the west side relative to the east side within a narrow band around the boundary. With census tract and year-quarter fixed effects included, the comparison is effectively made among homes sold at the same time and located in the same local neighbourhood.

A key feature of this setting is that Ontario Street is not aligned with major changes in amenities or neighbourhood composition. School catchment boundaries and census tract borders are at least 200 meters from Ontario Street on both sides.⁴ We therefore include census

⁴The only exception is Brock Elementary School, whose boundary coincides with Ontario Street from East 33rd Avenue to East 37th Avenue. However, the west side of Ontario Street along this segment is Queen

tract fixed effects, δ_n , which are defined at a finer geographic scale than school catchment areas, along with year-quarter fixed effects, δ_t , to absorb unobserved neighbourhood and time-specific factors. Under this specification, γ measures the average west-side price premium after accounting for observable housing characteristics and unobserved neighbourhood and time effects.

We estimate the model separately for single-family and strata properties because the determinants of value differ substantially across the two housing types. For single-family homes, a large share of value is tied to the land, whereas strata units have no private lot. In addition, the households living in strata units may have different willingness to pay for neighbourhood prestige compared to those in single-family homes.

Table 3 reports the estimated coefficients on γ , which capture the price differences between the west and east sides of Vancouver after controlling for observable housing characteristics. For single-family homes, the average sale price on the west side of the city is 26.4% (23.4 log points) higher than sales in East Vancouver. For strata properties, the corresponding premium is a more modest 13.2% (12.4 log points). This value represents the average value of living on the west side, inclusive of amenity access, neighbourhood effects, and prestige signaling. Restricting our sample to homes within 150 meters of Ontario Street more closely isolates the value of the west-side label, since these homes have similar amenity access and neighbourhood characteristics after controlling for house characteristics and census tract fixed effects. Here the premium for west-side single-family homes is 20.5% (18.6 log points), which is economically large. Given an average east-side single-family sale price of \$2.43 million in 2021, this estimate implies that buyers are willing to pay about \$500k more for a west-side home with the same observed characteristics. For strata properties, the estimated west-side premium is 11.0% (10.4 log points), also statistically significant at the 5% level.

Elizabeth Park and contains no residential properties. To be conservative, we exclude residential properties on the east side of this segment.

Table 3: West Side Premium

	SF (All)	Strata (All)	SF (Ontario)	Strata (Ontario)
West side	0.234*** (0.022)	0.124*** (0.029)	0.186*** (0.011)	0.104** (0.024)
Log(Lot size)	0.252*** (0.035)		0.246** (0.099)	
Log(Floor area)	0.424*** (0.026)	1.004*** (0.024)	0.275** (0.082)	1.097*** (0.013)
Bathrooms	0.025*** (0.002)	0.027*** (0.008)	0.020** (0.007)	0.010 (0.036)
Building Age	-0.002*** (0.000)	-0.008*** (0.001)	-0.003*** (0.001)	-0.002** (0.001)
Observations	41 348	45 601	1055	984
R-squared	0.937	0.932	0.959	0.952
FE: Year-Quarter	X	X	X	X
FE: Census Tract	X	X	X	X

Notes: The dependent variable is log sale price. Standard errors are clustered by census tract and reported in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$. Columns report citywide estimates and estimates within the Ontario Street 150-meter buffer, respectively.

4.2 Placebo falsification tests

As a placebo falsification exercise, we reestimate our baseline specification (1) using all north-south streets in Vancouver that satisfy two key conditions. First, the street must be residential. Second, it must not coincide with any change in school catchment boundaries within 200 meters. These restrictions help preserve the continuity assumption and make the placebo boundaries as comparable as possible to Ontario Street.

Figure 4 shows the results when we repeat the regression for single-family homes along these comparable streets. We find little evidence of a systematic preference for either the west or east side at any other boundary. Although a few streets exhibit statistically significant price differences across sides at the 5% level, none approach the magnitude of the estimated effect at Ontario Street.

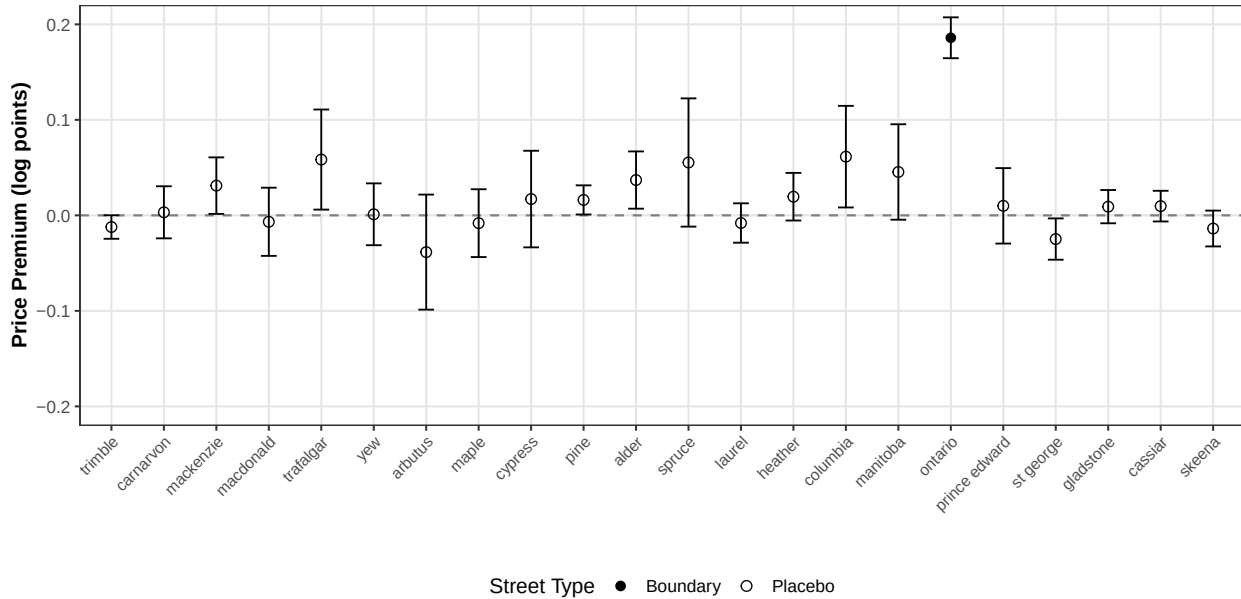


Figure 4: Placebo Test: Single-Family Homes

Figure 5 reports the corresponding placebo tests for strata properties. The Ontario Street estimate is the highest among all streets, and the estimates at most other streets are close to zero. The confidence interval for Ontario Street is wide relative to those for single-family

homes, reflecting the smaller strata sample, so the placebo evidence is suggestive rather than decisive for strata properties.

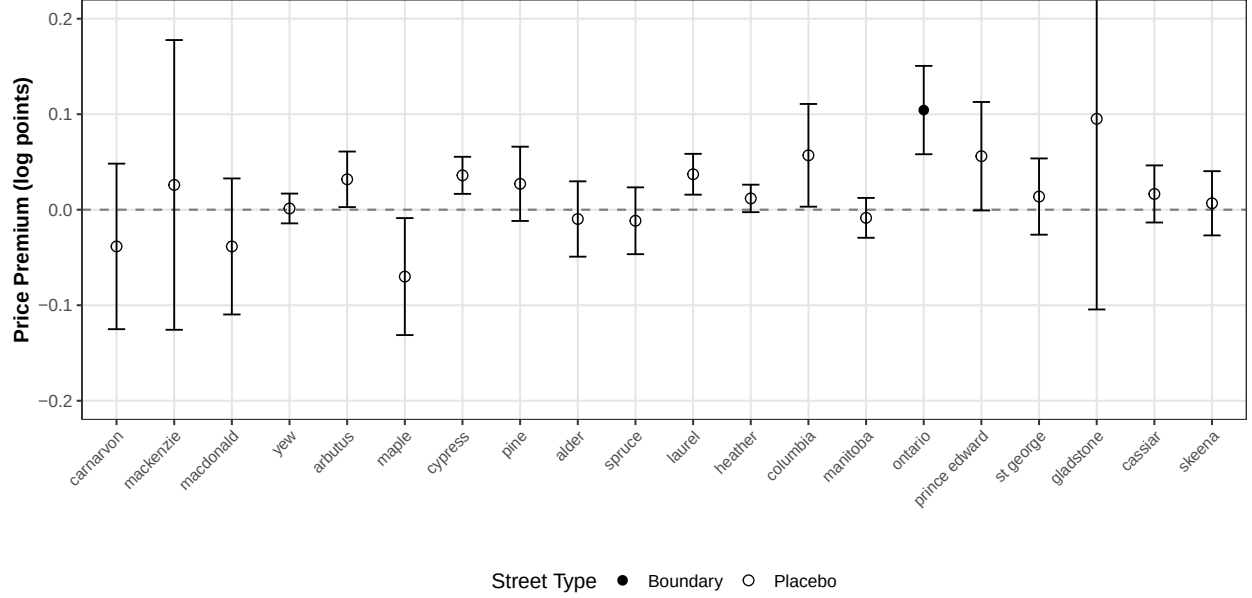


Figure 5: Placebo Test: Strata Homes

4.3 Trends

In addition to our baseline regression discontinuity specification (1), we also estimate a citywide spatial-trend specification. To do this, we divide Vancouver into north-south street strips, with each bounded by adjacent north-south streets and running the full length of the city as shown in Figure 6.

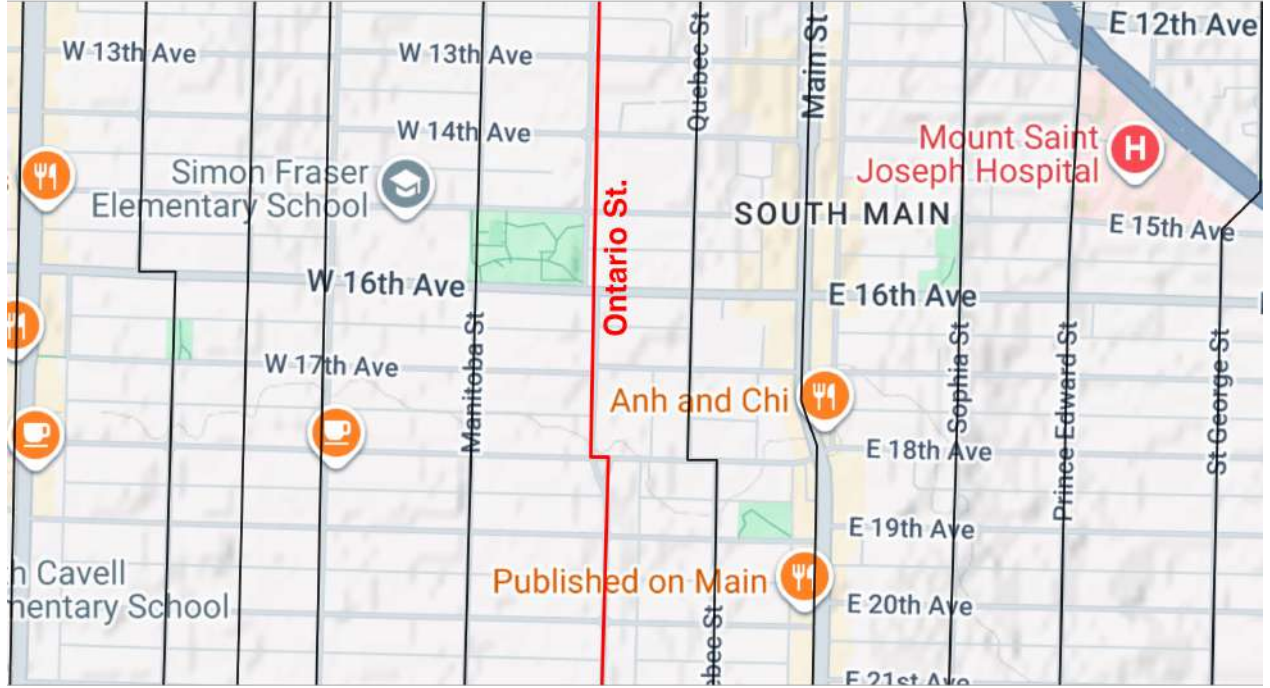


Figure 6: Partition of Vancouver into North-South Strips

We then estimate the equation

$$\log(p_{i,t}) = \gamma_j \cdot \text{band}_{j(i)} + \beta_1 \cdot \log(\text{lot size}_{i,t}) + \beta_2 \cdot \log(\text{floor area}_{i,t}) + \beta_3 \cdot \text{age}_{i,t} + \delta_t + \epsilon_{i,t}$$

where γ_j gives the average price premium for homes in the j th band relative to the omitted band (which is the band just west of Ontario Street), controlling for observable characteristics. In Figure 7, we then plot these fixed effects against the distance from Ontario Street.⁵ This allows us to test that the effect is not driven by a strong preference for western homes in general, which would show up as a strong downward slope from west to east that accounts for our discontinuity. While we do see a downward slope in general, there is also a clear discontinuity only at Ontario Street, along with an apparent change in slope at the boundary. The two red points highlight the bands immediately adjacent to Ontario Street on each side; the jump between them captures the estimated boundary premium at the block-strip level.

⁵In this regression, we omit Census Tract fixed effects because they are collinear with the band fixed effects.

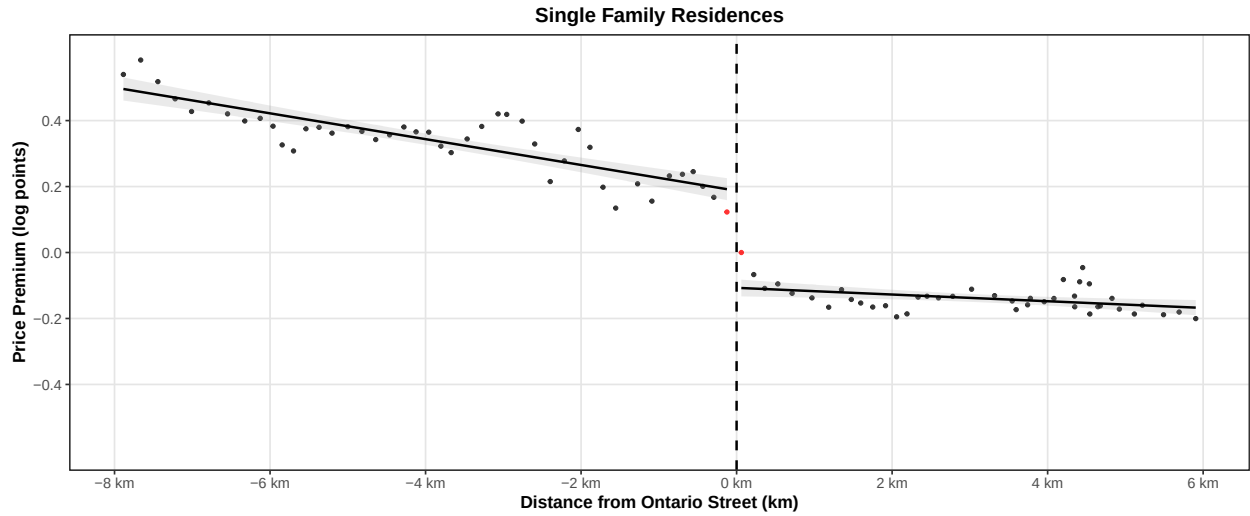


Figure 7: Partition Fixed Effects for Single-Family Homes

Figure 8 reports the corresponding partition fixed effects for strata properties. The two red points again mark the bands immediately adjacent to Ontario Street; the jump between them reflects the boundary premium at the block-strip level. The evidence is noisier than for single-family homes given the smaller strata sample, so the figure is consistent with a boundary effect but does not establish it as cleanly.

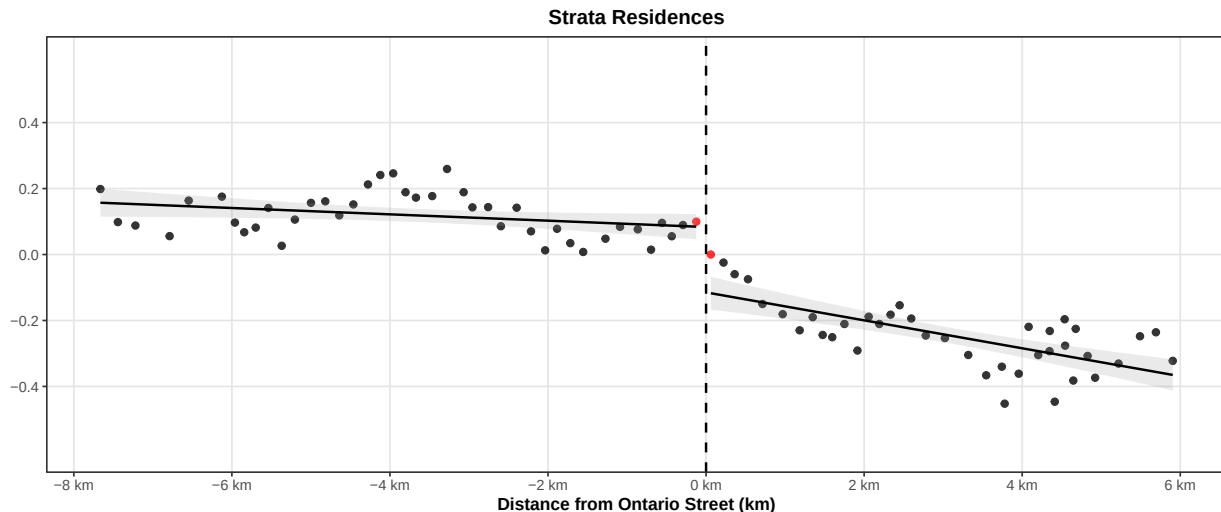


Figure 8: Partition Fixed Effects for Strata Homes

5 Robustness

This section examines whether the estimated west-side premium is sensitive to specification choices, sample definitions, or particular parts of the Ontario Street boundary. We begin with checks that vary the bandwidth and restrict the sample to more directly comparable homes. We then examine whether the premium differs across neighbourhoods, time periods, and predicted price segments, and finally consider whether the result is explained by local income sorting.

5.1 Bandwidth sensitivity

Our baseline specification uses a 150-meter bandwidth around Ontario Street. To assess whether the result depends on this choice, Table 4 reports estimates using alternative bandwidths of 50, 100, 150, and 200 meters.

For single-family homes, the estimated west-side premium is stable across these bandwidths. The implied premium is 25.7% (22.9 log points) within 50 meters, 20.1% (18.3 log points) within 100 meters, 20.5% (18.6 log points) in our preferred 150-meter bandwidth, and 19.2%

Table 4: Bandwidth Comparison: Single-Family Homes

	50m	100m	150m	200m
West side	0.229*** (0.045)	0.183*** (0.017)	0.186*** (0.011)	0.176*** (0.011)
Log(Lot size)	0.185 (0.155)	0.173 (0.124)	0.246** (0.099)	0.274** (0.089)
Log(Floor area)	0.081 (0.079)	0.319** (0.093)	0.275** (0.082)	0.311*** (0.084)
Building Age	-0.003** (0.001)	-0.003*** (0.001)	-0.003*** (0.001)	-0.003*** (0.001)
Bathrooms	0.036** (0.013)	0.020*** (0.003)	0.020** (0.007)	0.014* (0.007)
Num.Obs.	192	650	1055	1369
R Squared	0.971	0.961	0.959	0.954
FE: Neighbourhood (Census Tract)	X	X	X	X
FE: Sale Year-Quarter	X	X	X	X

Notes: The dependent variable is log sale price. Standard errors are clustered by census tract and reported in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

(17.6 log points) within 200 meters. The 50-meter estimate is somewhat larger, but it also shows higher standard errors because the sample is smaller. Overall, the estimates remain economically large and statistically significant across bandwidth choices, suggesting that the baseline result is not driven by an arbitrary definition of the area around Ontario Street.

Table 5 reports the analogous bandwidth sensitivity results for strata properties. We omit the 50-meter bandwidth because the strata sample within that narrow band contains only 9 observations, too few for a reliable estimate. Across the 100-, 150-, and 200-meter bandwidths, the estimated west-side premium is positive and statistically significant in all specifications, confirming that the baseline strata result is similarly robust to the choice of bandwidth.

Table 5: Bandwidth Comparison: Strata Homes

	100m	150m	200m
West side	0.115*** (0.018)	0.104** (0.024)	0.071** (0.020)
Log(Floor area)	1.066*** (0.005)	1.097*** (0.013)	1.119*** (0.014)
Building Age	−0.002** (0.001)	−0.002** (0.001)	−0.003*** (0.001)
Bathrooms	0.007 (0.036)	0.010 (0.036)	0.005 (0.025)
Num.Obs.	875	984	1394
R Squared	0.958	0.952	0.942
FE: Neighbourhood (Census Tract)	X	X	X
FE: Sale Year-Quarter	X	X	X

Notes: The dependent variable is log sale price. Standard errors are clustered by census tract and reported in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

5.2 Standard-size homes

A second concern is that homes on the two sides of Ontario Street may differ in land and structure characteristics in ways that are not fully captured by controls for lot size and floor area. This concern is especially relevant for single-family homes, since land is a central component of value and the west side historically contains more large lots. Although the baseline specification controls for log lot size and log floor area, the comparison may still depend on functional-form assumptions if the size distributions differ systematically across the two sides of the boundary. To reduce this concern, we restrict the sample to standard-size properties, where west- and east-side homes are more directly comparable.

Figure 9 shows the property-size distributions by side of Ontario Street and marks the standard-size windows used in this exercise. For single-family homes, we keep only properties with lot sizes between 3,500 and 4,400 square feet. For strata units, where private lot size is not relevant, we keep units with floor area between 800 and 1,250 square feet. These restrictions remove the tails of the size distribution and focus the comparison on the most common property sizes.

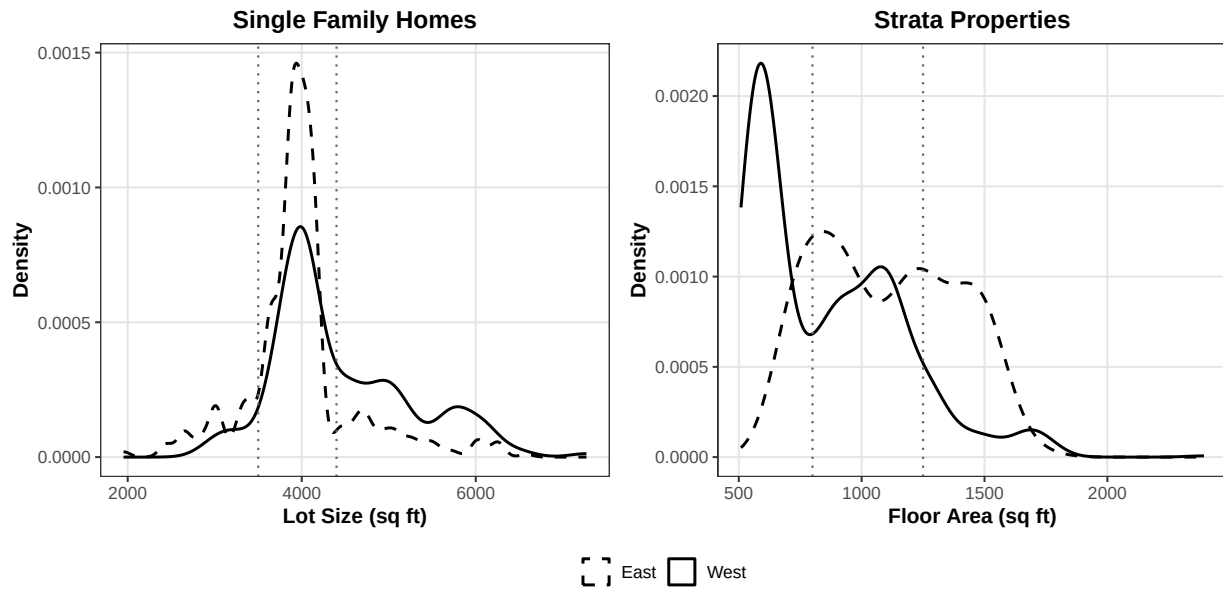


Figure 9: Distribution of Property Sizes by Side of Ontario Street

Table 6: Summary Statistics by Property Type and Location for Standard Homes (Within the 150-Meter Band)

Variable	Single-Family		Strata	
	Single-Family - West	Single-Family - East	Strata - West	Strata - East
Price (000s)	1341.58 (56.63)	1137.57 (40.19)	880.76 (16.54)	673.56 (44.73)
Age	21.17 (1.11)	20.18 (0.85)	7.14 (0.47)	14.59 (1.27)
Floor Area	2251.05 (26.16)	2160.56 (21.05)	1011.18 (6.45)	1020.5 (17.16)
Lot Size	3973.05 (10.18)	3936.68 (8.71)		
Baths	3.16 (0.08)	2.98 (0.06)	1.42 (0.03)	1.47 (0.09)
Bedrooms	4.3 (0.08)	4.61 (0.06)	2.01 (0.01)	2.19 (0.05)
Year	2010.27 (0.42)	2010.55 (0.38)	2015.46 (0.27)	2012.09 (0.86)
N	273	382	347	64

Note: For homes sold in Vancouver, 2001-2024. Mean values shown with standard errors in parentheses. Single-family homes have lot size between 3,500 and 4,400 sq ft; strata homes have floor area between 800 and 1,250 sq ft. Source: BC Assessment.

Table 6 reports summary statistics for the sample of standard-size properties within the 150-meter bandwidth. The restriction substantially reduces cross-side differences in physical scale. Among single-family homes, the average lot size differs by less than 1% between the west and east sides, and the floor-area difference falls to about 4%. Sale timing and age are also very similar across sides. For strata units, average floor area is nearly identical after the restriction, although the sample remains concentrated on the west side and west-side units are newer. These comparisons suggest that the restricted sample provides a more balanced comparison of physically similar properties on either side of Ontario Street at least for single-family homes.

Table 7 reports the regression estimates for the restricted sample. The single-family estimate remains large and statistically significant: standard-lot homes on the west side sell for 17.7% more (16.3 log points) than comparable standard-lot homes on the east side. This estimate is somewhat smaller than the baseline estimate of 20.5% (18.6 log points), but it

Table 7: Standard Homes only

	Single-Family	Strata
West side	0.163*** (0.017)	0.111 (0.044)
Log(Lot size)	0.560 (0.387)	
Log(Floor area)	0.291** (0.087)	0.969*** (0.035)
Bathrooms	0.007 (0.008)	0.006 (0.040)
Building Age	−0.003*** (0.000)	−0.004* (0.001)
Observations	655	411
R-squared	0.962	0.937
CT Fixed Effects	X	X
Year-Quarter Fixed Effects	X	X

Notes: The dependent variable is log sale price. Standard errors are clustered by census tract and reported in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Standard-size samples restrict single-family homes to $3,500 < \text{lot size} < 4,400$ sq ft and strata properties to $800 < \text{floor area} < 1,250$ sq ft.

remains close in magnitude. The result suggests that the baseline premium is not primarily an artifact of comparing homes on different-sized lots. Even among properties with very similar physical scale, buyers pay a substantial premium for being on the west side of Ontario Street.

For strata properties, the estimated west-side premium is 11.6% (11.0 log points), but it is not statistically significant in the restricted sample.⁶ The wider standard error is consistent with the smaller restricted sample. Thus, while the baseline strata estimate is statistically significant, the restricted-sample estimate is not, likely due to the smaller sample size.

⁶Although the coefficient-to-standard-error ratio is about 2.6, inference is based on standard errors clustered by census tract. The restricted strata sample spans only three census-tract clusters, so the relevant clustered t distribution uses $G - 1 = 2$ degrees of freedom and yields a p -value of 0.12.

5.3 Neighbourhood heterogeneity

As pointed out by Keele and Titiunik (2015) and Cattaneo and Titiunik (2022), a geographic regression discontinuity estimate should be interpreted not as a treatment effect at a single point, but as an average of treatment effects along the border. A natural concern in our setting is therefore that the estimated west-side premium may be driven by only a subset of neighbourhoods along Ontario Street. For example, the effect could be concentrated in the northern segment of the street, which lies closer to downtown and may have access to a different bundle of amenities.

To examine this possibility, we incorporate the north-south dimension of the border by estimating the treatment effect separately for each census tract intersecting Ontario Street, following Dell (2010) and Keele and Titiunik (2015). Specifically, we reestimate our baseline specification in equation (1) separately for each tract, omitting census tract fixed effects. When one or both adjacent tracts contain too few observations, we combine them to obtain sufficient sample size. We restrict attention to tract-level samples with at least 5 observations on each side of Ontario Street within 150 meters. Applying these criteria leaves 5 tract-level estimates for single-family homes and 2 for strata homes.

Figure 10 plots these local estimates over a map of Vancouver, with census tract boundaries shown in red and the estimated west-side premium on the x-axis. For single-family homes, the estimated west-side premium is positive in every tract and statistically significant in all five cases. This suggests that the main result is not driven by a single neighbourhood along Ontario Street. For strata homes, the evidence is more mixed: one tract shows a statistically significant west-side premium, whereas the other yields a positive but statistically insignificant estimate. The imprecision in the latter estimate likely reflects the small sample size in that tract, which contains only 56 observations (36 on the west side and 20 on the east side). Similarly, the single-family tract with the largest standard error is based on a relatively small sample of 69 observations (29 on the west side and 40 on the east side). These are the two smallest tract-level samples in the analysis. By comparison, the tract with the third-smallest sample contains 171 observations (87 on the west side and 84 on the east side).

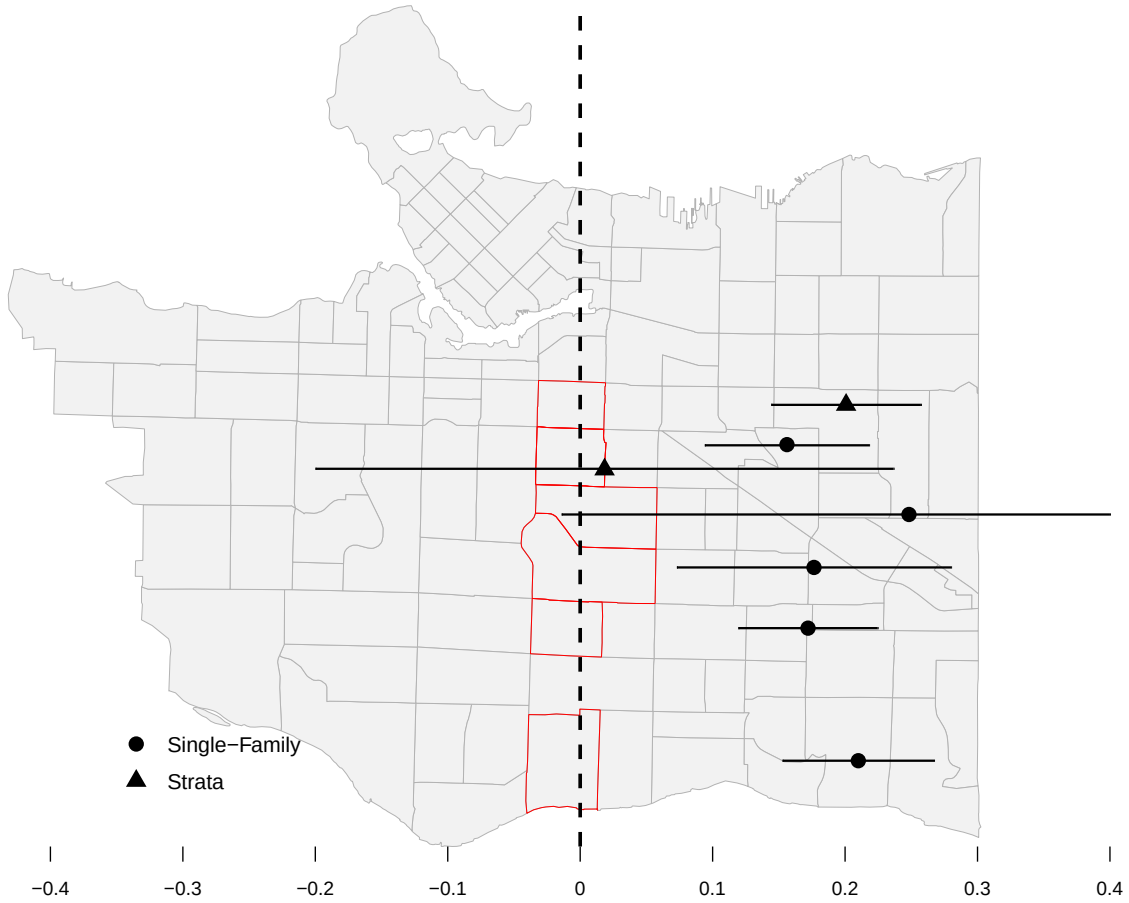


Figure 10: Price Premium (log points) by Neighbourhood

5.4 Time-period heterogeneity

We next examine whether the estimated premium is concentrated in a particular period. We split the single-family home sample into three sale-period bins with similar sample sizes: 2001–2004, 2005–2010, and 2011–2024. Table 8 shows the regression results for each period. The estimated west-side premium is 20.8% (18.9 log points) in 2001–2004, 21.1% (19.1 log points) in 2005–2010, and 19.1% (17.5 log points) in 2011–2024. The estimates are statistically significant in all three periods and do not exhibit a clear trend in magnitude. This suggests that the value of the west-side label has been persistent over time, rather than being a recent

phenomenon driven by changes in demographic characteristics or homebuyer preferences.⁷

These results are consistent with a key finding in the literature on neighbourhood effects: temporary amenities or disamenities can have highly persistent effects (for example, Dell, 2010; Heblich, Trew, and Zylberberg, 2021). In the latter study, which is more directly related to our setting, the authors find that historical pollution levels continue to shape neighbourhood sorting today despite much lower pollution levels over the past 50 years. They argue that endogenous amenity creation can reinforce initial sorting patterns. Because our setting is designed to hold physical amenities fixed at the boundary, our findings suggest that intangible neighbourhood amenities, such as reputation, may also become persistent and difficult to overcome.

5.5 Neighbourhood income controls

An alternative interpretation is that the west-side premium reflects income sorting into prestigious neighbourhoods rather than differences in willingness to pay for neighbourhood prestige conditional on local income. To assess this interpretation, we estimate the price regression with the addition of local income controls. Since the causality could run in either direction, we include it only as a robustness check. If the west-side premium is primarily driven by income sorting, then controlling for local income should substantially reduce the estimated premium. If the premium remains large after controlling for local income, this suggests that the result is not mechanically explained by income differences across the two sides of Ontario Street.

Because buyer income is not observed in the transaction data, we construct a local income measure from the 2021 Census. We use median household income at the dissemination-area (DA) level. DAs are the smallest standard Canadian Census geography and typically contain about 400–700 people, compared with roughly 2,500–8,000 people in a census tract (CT). This DA-level measure is more spatially detailed than census-tract-level measures and can vary within the same census tract. In many cases it assigns different income values to properties on

⁷The strata sample is concentrated in 2011–2024. The sample sizes for 2001–2004, 2005–2010, and 2011–2024 are 47, 77, and 852, respectively. Only the 2011–2024 estimate is positive and statistically significant.

Table 8: Single-Family Homes: Premium Over Time

	2001-2004	2005-2010	2011-2024
West side	0.189*** (0.028)	0.191*** (0.049)	0.175*** (0.030)
Log(Lot size)	0.160** (0.046)	0.199*** (0.049)	0.383** (0.134)
Log(Floor area)	0.308** (0.098)	0.210* (0.107)	0.259** (0.106)
Bathrooms	0.041*** (0.008)	0.004 (0.017)	0.014 (0.011)
Building Age	0.000 (0.001)	−0.005*** (0.001)	−0.004*** (0.001)
Observations	291	255	509
R-squared	0.618	0.795	0.878
CT Fixed Effects	X	X	X
Year-Quarter Fixed Effects	X	X	X

Notes: The dependent variable is log sale price. Standard errors are clustered by census tract and reported in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

the west and east sides of Ontario Street, which addresses the main limitation of census-tract income controls: those mechanically assign the same income value to all properties within a tract even when the tract spans both sides of the boundary.

Income is assigned to each transaction by a spatial join: each property is matched to the dissemination area in which it falls, and that DA’s 2021 median household income is attached to the transaction. A complication arises because some DAs straddle Ontario Street, containing properties on both the west and east sides of the boundary. For those DAs the income control takes the same value on both sides, providing no additional identifying variation and blurring the west–east distinction within the DA. We therefore exclude transactions in cross-street DAs from the income-controlled specifications. Figure 11 illustrates the assignment procedure and the sample selection. The shaded polygons show the census-tract–buffer intersections on each side of Ontario Street. Thick blue lines mark census tract boundaries; thin black lines mark DA boundaries. Transaction locations are plotted as dots: yellow dots are transactions located in DAs that span both sides of Ontario Street and are excluded from the income-controlled regressions, while dark dots are the transactions used.

Table 9 reports the results. Because DA income varies within census tracts, these specifications retain both census tract fixed effects and year-quarter fixed effects. The identifying comparison therefore remains local: west- and east-side properties within the same census tract are compared while allowing DA-level income to differ across properties. For single-family homes within 150 meters of Ontario Street, the west-side coefficient is virtually unchanged when DA income is added, moving from 18.6 log points to 18.7 log points (20.5% to 20.6%). The DA income term itself is small and statistically insignificant (0.040, SE = 0.061), indicating that within-tract income variation near the boundary does not predict prices independently of the west-side indicator. The west-side premium is therefore not an artifact of income sorting: households pay more for west-side addresses even after accounting for the income levels of the immediate neighbourhood. This is consistent with the premium reflecting prestige to west-side location that is valued independently of the current income composition of the area.

For strata properties, the cross-DA exclusion reduces the 150-meter sample from 976 to 162 observations—an 83 percent reduction—because strata transactions are concentrated in higher-density buildings that are more likely to straddle both sides of the boundary within a

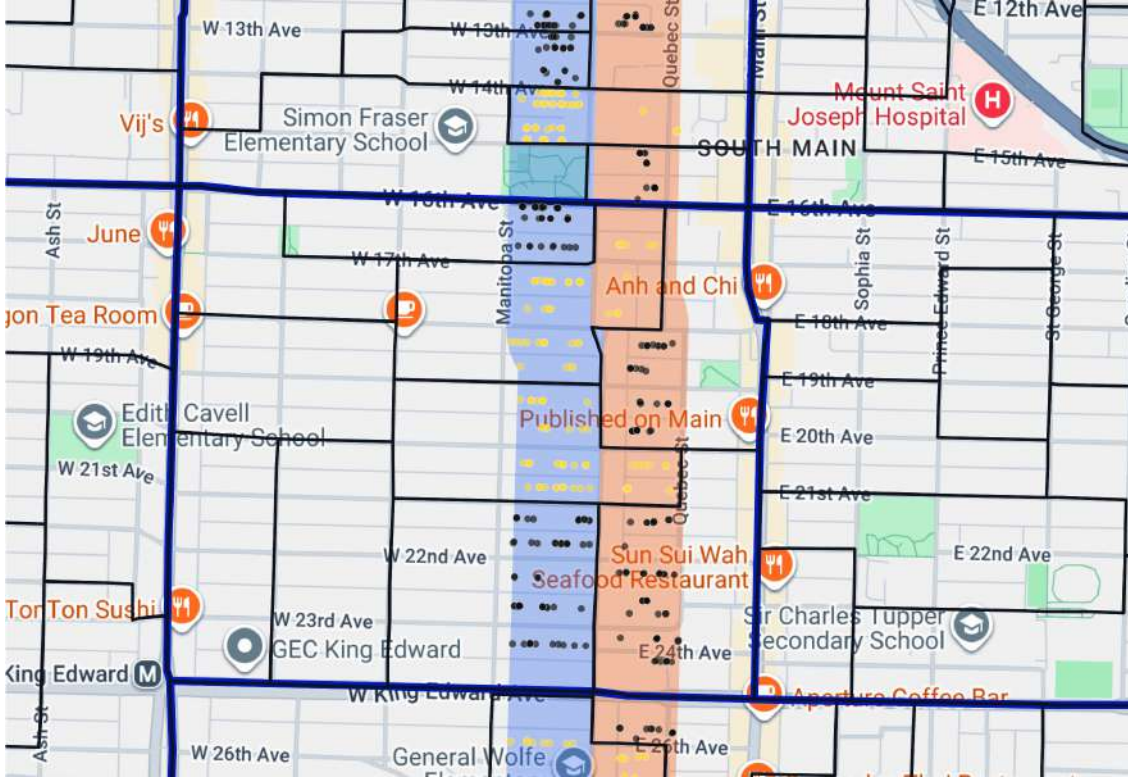


Figure 11: Assigning DA-Level Income to Transactions near Ontario Street. Shaded polygons are census-tract intersections with the 150m buffer (blue = west, orange = east). Thick blue lines are census tract boundaries; thin black lines are dissemination area boundaries. Yellow dots indicate transactions in DAs that span both sides of Ontario Street (excluded from income regressions); dark dots are the transactions used.

single DA. With only 162 remaining observations and full census-tract fixed effects, the model is severely underpowered. The coefficient shifts from 10.4 log points to -3.8 log points and changes sign, but the standard error of 5.3 log points is far too large to distinguish this from zero; the sign reversal is almost certainly an artifact of sample attrition rather than a genuine change in the underlying effect. The income-controlled strata estimate should therefore be interpreted as uninformative about the strata premium.⁸

⁸After the DA exclusion, the income-controlled strata sample spans only two census-tract clusters. Clustered inference therefore uses $G - 1 = 1$ degree of freedom, which is why some control variables can have large coefficient-to-standard-error ratios but still modest p-values.

Table 9: West Side Premium with DA-Level Income Controls

	SF 150m	SF 150m +DA Inc.	ST 150m	ST 150m +DA Inc.
West side	0.186*** (0.011)	0.187*** (0.011)	0.104** (0.024)	−0.038 (0.057)
Log DA income		0.040 (0.061)		0.294 (0.061)
Log lot size	0.246** (0.099)	0.206 (0.124)		
Log floor area	0.275** (0.082)	0.351** (0.110)	1.097*** (0.013)	0.926* (0.085)
Baths	0.020** (0.007)	0.016* (0.008)	0.010 (0.036)	0.017 (0.027)
Age	−0.003*** (0.001)	−0.003*** (0.001)	−0.002** (0.001)	−0.003 (0.001)
Observations	1055	690	984	187
R-squared	0.959	0.961	0.952	0.983
FE: Census Tract	X	X	X	X
FE: Year-Quarter	X	X	X	X

Notes: The dependent variable is log sale price. Standard errors are clustered by census tract and reported in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

These specifications include census tract and year-quarter fixed effects because DA income can vary within census tracts.

6 Conclusion

This study demonstrates that intangible neighbourhood amenities, such as prestige, can have a significant effect on real estate prices. We study a setting in which crossing a boundary changes only the socially constructed meaning attached to the city’s official “sides,” and find that this distinction carries substantial economic value.

We take advantage of Vancouver’s unique history and setting to estimate homebuyers’ willingness to pay for neighbourhood prestige, using a spatial regression discontinuity design that compares west- and east-side neighbourhoods along Ontario Street. We find a large premium of 20.5% for single-family homes on the west side, indicating that homebuyers place substantial value on belonging to a high-prestige neighbourhood, even when nearby tangible amenities are similar. For strata properties, the corresponding estimate is 11.0%, also statistically significant at the 5% level. The strata premium is stable across all bandwidth specifications, though it is less precisely estimated in more restricted samples due to the smaller strata sample near the boundary.

The single-family result is robust across a range of checks. The estimated premium remains large under alternative bandwidths and when the sample is restricted to standard-size homes with more comparable lot and floor-area distributions. It is positive across neighbourhood segments along Ontario Street and persistent across time periods. Placebo tests using other north-south residential streets show no comparable discontinuity. The estimate also remains large when we control for DA-level median household income from the 2021 Census. The strata premium is similarly stable across bandwidths, but the strata evidence from the standard-size restriction, neighbourhood heterogeneity, time-period heterogeneity, and neighbourhood income-control exercises is inconclusive because these analyses leave small strata samples.

Together, these results reinforce the idea that housing prices reflect not only physical amenities and observable housing characteristics, but also intangible status associated with place. Such status-based capitalization may reinforce existing spatial inequalities by making prestigious areas more expensive and harder to access.

From a policy perspective, our findings highlight that neighbourhood inequality may

persist even when observable amenities are similar. Policies aimed at improving lower-status neighbourhoods may therefore need to consider not only physical amenities and services, but also the reputational dimensions of urban space.

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